

Warsaw, August 10, 2023

Decision

DOKE.561.9.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws 2023, item 775, consolidated text) in connection with Article 7(1) and (2) and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws 2019, item 1781) and based on Article 57(1)(a) and (h), Article 58(2)(b) in connection with Article 31 and Article 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on R. Sp. z o.o. based in O. at ul. (...), the President of the Personal Data Protection Office issues a reprimand to R. Sp. z o.o. based in O. at ul. (...) for violating the provisions of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to fulfill his tasks in the proceedings with reference number DS.523.6522.2022.

JUSTIFICATION

Factual Background

A complaint was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") by Mr. M. N., residing in O. at ul. (...) (hereinafter referred to as the "Complainant") regarding irregularities in the processing of his personal data by R. Sp. z o.o. based in O. at ul. (...) (hereinafter referred to as the "Company"), consisting of the failure to fulfill the information obligation towards the Complainant resulting from Article 15 of Regulation 2016/679 and the disclosure of the Complainant's personal data to B. Sp. z o.o. based in O. at ul. (...).

In connection with the above, in order to address the allegations raised by the Complainant, the President of UODO initiated explanatory proceedings with reference number DS.523.6522.2022.

As part of the aforementioned proceedings – acting under Article 58(1)(a) and (e) of Regulation 2016/679 – the President of UODO, by letter dated February 7, 2023, summoned the Company to provide explanations regarding the matter by indicating/presenting:

- 1) "the specific legal basis for processing the individual personal data of the Complainant by the Company,
- 2) a copy of the document confirming the circumstance of the Complainant's intention to change employers from R. Sp. z o.o. to B. Sp. z o.o., including consent to disclose his data to B. Sp. z o.o.,
- 3) the extent to which the Company disclosed the Complainant's data to B. Sp. z o.o.,
- 4) a copy of the data processing agreement between the Company and B. Sp. z o.o., on the basis of which the Company disclosed the Complainant's data."

This summons, sent to the address of the Company's registered office disclosed in the National Court Register, i.e., ul. (...), (...) O., was received by the Company on February 10, 2023. Despite receiving the correspondence, the Company did not respond in any way to the request of the data protection authority.

In light of the above – by letter dated April 19, 2023 – the President of UODO again approached the Company with a request for explanations necessary to assess the validity of the complaint. The Company was also informed that a lack of a comprehensive response to this request could result in the imposition of an administrative monetary penalty on the Company, in accordance with Article 83(5)(e) of Regulation 2016/679.

Despite receiving the letter on April 24, 2023, the Company did not provide the requested explanations.

The above factual circumstances were established by the President of UODO based on the entirety of the official correspondence sent by the President of UODO to the Company, which is included in the files of the proceedings with reference number DS.523.6522.2022. This correspondence reflects all attempts made by the President of UODO to gain access to personal data and information necessary to fulfill his tasks – that is, to consider the case with reference number DS.523.6522.2022. On the other hand, it constitutes direct evidence of the Company's lack of cooperation with the President of UODO in the performance of his duties.

Proceedings

In connection with the Company's failure to provide the information necessary to resolve the case with reference number DS.523.6522.2022, the President of UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – these administrative proceedings with reference number DOKE.561.9.2023, regarding the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The initiation of...

****Proceedings****

The Company was informed by a letter dated June 1, 2023 (reference: DOKE.561.9.2023), delivered to the Company on June 6, 2023. By this letter, the Company was obliged – in order to determine the basis for the penalty, based on Article 101a paragraph 1 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the amount of turnover and financial results achieved by the Company in 2022. The Company was also informed that the submission of comprehensive explanations, which the President of the UODO had previously requested from the Company in the proceedings under reference DS.523.6522.2022, may mitigate the imposed administrative monetary penalty in this administrative proceeding or result in the decision to refrain from imposing it.

In response to the information about the initiation of proceedings by the President of the UODO regarding the imposition of an administrative monetary penalty – by a letter dated June 20, 2023 – the Company, represented by attorney D. A. from the Law Firm based in O. at ul. (...), submitted extensive explanations regarding the matter. Regarding the complaint of Mr. M. N., the Company indicated that "(...) it processed and is processing the following personal data of the Complainant: 'first and last name, father's and mother's name, date and place of birth, PESEL number, place of residence, place of living, correspondence address, contact details, i.e.: phone number and email address, series and number of the identity card, date and place of issuance of the identity card, the authority that issued the identity card, information about the appropriate Tax Office for the Complainant, information whether the Complainant is or is not a pensioner, information whether the Complainant is or is not employed in another workplace, information whether the Complainant has or does not have a disability certificate, information about previous places of employment, information about the person to be notified in case of an accident along with the name, surname, address, and phone numbers of that person, information that the Complainant is a parent – guardian of a child under 14 years old along with the name and surname of the Complainant's child and the date and place of birth, information about the Health Fund to which the Complainant belongs, information about the Complainant's bank account number and the name of the bank for salary payment, data regarding work capacity, data on the Complainant's education and professional experience, as well as data regarding the job position and the execution of the employment contract.'" At the same time, the Company cited detailed legal bases for processing the aforementioned categories of personal data. As indicated in the Company's explanations, it provided the personal data of the Complainant to B. Sp. z o.o. – despite the lack of a data processing agreement with that entity. The Company also admitted that it does not possess a document confirming the Complainant's intention to change employers from the Company to B. Sp. z o.o., or the Complainant's consent to share his personal data with B. Sp. z o.o.

Regarding the violation of Article 31 and Article 58 paragraph 1 letters a) and e) of Regulation

2016/679, the Company stated that the lack of proper cooperation with the President of the UODO was caused by “(...) staffing shortages in the area of administrative service of the Company.” Furthermore, the Company expressed regret over the circumstances constituting the violation and declared its full willingness to cooperate with the President of the UODO in the future.

Due to the necessity to supplement the evidence collected so far in the case under reference DS.523.6522.2022, the President of the UODO once again – by a letter dated July 11, 2023 – requested the Company to provide additional information, including indicating whether the Company disclosed the personal data of the Complainant contained in the referral for examinations and the medical certificate (which documents were part of the Complainant's employee records maintained by the Company) to B. Sp. z o.o. In the event of an affirmative response, the Company was obliged to provide the date, legal basis, and purpose of disclosing that data.

In response to the above request, the Company – by a letter dated July 20, 2023 – submitted additional explanations, in which it provided detailed answers to the questions posed by the personal data protection authority.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57 paragraph 1 letter a) of Regulation 2016/679, the President of the UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation on its territory. Within the scope of its powers, the President of the UODO, among other things, examines complaints lodged by the data subject or by an entity, organization, or association in accordance with Article 80, conducts proceedings regarding these complaints to the appropriate extent, and informs the complainant of the progress and results of these proceedings within a reasonable time (Article 57 paragraph 1 letter f) of Regulation 2016/679). The President of the UODO also conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57 paragraph 1 letter h) of Regulation 2016/679).

To enable the realization of the tasks defined in this manner, the President of the UODO has a number of powers specified in Article 58 paragraph 1 of Regulation 2016/679 in the scope of conducted proceedings, including the power to order the controller and the processor to provide any information necessary for the performance of its tasks (Article 58 paragraph 1 letter a) of Regulation 2016/679) and the power...

to obtain from the administrator and the processor access to all personal data and all information necessary for the performance of its tasks (Article 58(1)(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679, resulting in a breach of the rights of the authority specified in Article 58(1), is subject to an administrative fine of up to EUR 20,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

Additionally, both the administrator and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as stated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applying.

The President of the Personal Data Protection Office (UODO) is also entitled to a number of remedial powers specified in Article 58(2) of Regulation 2016/679, including the right to issue a reprimand to the administrator or processor in the event of a violation of the provisions of Regulation 2016/679 by processing operations. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation 2016/679 to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under

Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was intentional, the actions taken by the administrator to minimize the damage, the degree of responsibility or any relevant previous violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the administrator or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the u.o.d.o. states that in matters not regulated by this act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Dz. U. 2022, item 2000, as amended, hereinafter: "k.p.a.") apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are one-instance proceedings.

Legal Assessment

Referring the above-mentioned provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is the addressee of the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Articles 83(4) and (5) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the UODO – on administrators and processors. From the content of the complaint by Mr. M. N. and the documents attached to it, it follows that from April 19, 2022, to June 30, 2022, the Complainant worked for the Company under an indefinite employment contract. The Company, acting as the employer of the Complainant, provided his personal data collected in employee records to a third party – B. Sp. z o.o., in whose structures the Complainant was subsequently employed. This circumstance raises no doubts, particularly in light of the explanations provided by the Company in these proceedings, which are consistent in this regard with the assertions of Mr. M. N.

In this context, it should be noted that according to the applicable legal provisions, especially the provisions of the Regulation of the Minister of Family, Labor and Social Policy of December 10, 2018, on employee documentation, the employer is obliged to maintain separate personal files for each employee (§2 of the regulation), which is why it is the employer who, in relation to the personal data contained in the employee's personal files, acts as the administrator of that data. In this state of affairs, it should be assumed that the Company acted in such a capacity in the factual state described by Mr. M. N. regarding the personal data of the Complainant provided to B. Sp. z o.o. Therefore, since the Company is the administrator within the meaning of Article 4(7) of Regulation 2016/679, the President of the UODO was entitled – in accordance with Articles 31 and 58(1)(a) and (e) of Regulation 2016/679 – to request the Company to provide personal data and information necessary for the performance of his tasks, in this case for the substantive consideration of the case with reference number DS.523.6522.2022, and the Company was obliged to present such information on the same legal basis.

The President of the UODO twice summoned the Company to provide explanations in the case with reference number DS.523.6522.2022. Both the summons of February 7, 2023, and the summons of February 19...

April 2023, received by the Company – on February 10, 2023, and April 24, 2023 – which justifies the belief that the Company had an objective opportunity to familiarize itself with the content of the letters addressed to it and to respond within the time frame set by the data protection authority. The Company's lack of response to the correspondence in question, which is undisputed based on the evidence gathered in this case, resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative monetary penalty on the Company, as a result of which the Company only then began to cooperate with the President of the Personal Data Protection Office

(UODO) and submitted comprehensive explanations in the case with reference number DS.523.6522.2022.

In the opinion of the President of UODO, the justification presented by the Company in its letter dated June 20, 2023, for the lack of response to his requests (see point 7 of the justification of this decision), although it may be considered credible, does not constitute a ground for excluding the Company's liability. It was the Company's duty to ensure an organization of correspondence circulation that would allow it to timely fulfill the obligations imposed by the provisions of Regulation 2016/679. The Company, as an entity professionally conducting business activities, should have designated – in its internal organizational regulations or by appropriately formulating the scope of duties of its employees – a person authorized to receive incoming correspondence addressed to the Company. In such a case, "the delivery [of correspondence] occurs on the date confirmed by that person as having received the letter. The determination of this does not depend on whether that person subsequently forwarded the letter to the individuals designated to perform the actions to which the letter pertained. This is already a matter of the internal organization of the work of the organizational unit that is the addressee of the letter. It is the obligation of each unit to organize the receipt of letters in such a way that this action is performed by an authorized person, and it is this unit that bears the responsibility for properly organizing the acceptance of letters and the circulation of correspondence, which should take place in a continuous and uninterrupted manner" (see Judgment of the Provincial Administrative Court in Warsaw dated December 9, 2020, case file VI SA/Wa 1697/20, LEX no. 3162004).

Considering the above, it should be noted that in the event of staff shortages in the administrative service of the Company (which the Company cited in its letter dated June 20, 2023, as the reason for the lack of response to the requests addressed to it by the President of UODO), it should have temporarily delegated any other employee to perform tasks related to the handling of incoming correspondence to the Company – at least until the unfilled vacancies were filled. The delivery of correspondence addressed to the Company in the proceedings with reference number DS.523.6522.2022, made on February 10, 2023, and April 24, 2023, initiated the running of deadlines for the actions that the Company was called upon to undertake by the President of UODO – in this case, to provide explanations and evidence necessary for the supervisory authority to carry out its tasks. The lack of any activity on the part of the Company in this regard undoubtedly burdens the Company.

Despite the obvious negligence on the part of the Company, the President of UODO took the position that the identified violation, consisting of a lack of cooperation with the President of UODO in the performance of his duties and the failure to provide the President of UODO with access to personal data and information necessary for the performance of his tasks – although highly reprehensible – was rectified by the Company immediately after becoming aware of this proceeding regarding the imposition of an administrative monetary penalty, i.e., upon the submission of the Company's explanations to UODO on June 26, 2023. By providing detailed explanations, the Company demonstrated an active attitude and readiness for further cooperation with the supervisory authority, both in this proceeding and in any future proceedings initiated by the President of UODO in which the Company would be a party. This leads to the conclusion that the Company's lack of response to the requests of the President of UODO was purely incidental. Evidence supporting this thesis is the fact that in the proceedings with reference number DS.523.6522.2022, the Company – summoned by the letter of the President of UODO dated July 11, 2023, to provide additional explanations – provided all the requested information in its letter dated July 20, 2023 (and thus within the deadline set by the supervisory authority). The above indicates that the Company's declaration regarding the intention to duly fulfill its obligation to cooperate with the President of UODO in the performance of his tasks was not merely superficial, aimed solely at avoiding the sanctions established in the provisions of Regulation 2016/679, but rather expressed the Company's genuine willingness to continue cooperation with the data protection authority.

In light of the above, the President of UODO deemed it justified to issue a reprimand to the Company regarding the identified violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, while

also accepting that, in light of the criteria set out in Article 83(2) of Regulation 2016/679, it would be effective and sufficient. However, it should be noted that in the event of a similar occurrence in the future, any reprimand issued by the President of UODO against the Company will be taken into account when assessing the conditions justifying the imposition of an administrative penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679 and will be considered to the Company's detriment.

In this factual and legal state, the President of UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to appeal against the decision to the Provincial Administrative Court.

Administrative Court in Warsaw, within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In proceedings before the Voivodeship Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court costs and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the course of the proceedings. The application is free of court fees.

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